

Applied Methods

Stochastic Processes - Mathematics

1. Overview

This session introduces applied methods within Stochastic Processes. It sets out the definitions used, the situations in which the material applies, and how it connects to the surrounding weeks of the module.

2. Key ideas

The central ideas of applied methods are developed from first principles and then applied to worked examples. Emphasis is placed on the conditions under which each result holds, since applying a result outside its hypotheses is the most frequent source of error.

3. In practice

Exercises for this week apply applied methods to problems of the kind met in assessment. Working them alongside the notes, rather than afterwards, is the intended use of this material.